CASCADIA ANALYTICS

INVESTMENT SCORECARD

ENS

EnerSys (NYSE)

As-of: 23-Oct-2026 | Latest Filing: 10-Q Q1 FY2027 | Currency: USD

$166.48 [Mkt 23-Oct-26]

Market Cap: $6.0B [Mkt 23-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 78

16.2% GAAP operating margin in Q1 FY27 (filed fiscal-year margins were single digits before FY2025), 19% LTM FCF margin, 1.3x net leverage. Narrow-wide moat via switching costs and TPPL technology. The margin level includes IRC 45X production credits ($136.4M in FY2024, $184.6M in FY2025, $158.6M in FY2026, recorded in cost of sales); on an adjusted basis the FY2026 operating margin was about 14.4%, the level the Base terminal margin carries forward.

2. Recent Trend — 72

Revenue +4.8% YoY (modest), but margins expanding materially and FCF surging to $217.8M. A&D backlog inflection offsets Motive Power softness.

3. Forward Growth — 75

A&D backlog +27% (munitions +230% YTD), AI data center power density tailwinds, 45X credits. Base case 6% revenue CAGR is achievable.

4. Valuation — 72

Forward P/E 11.7x is cheap vs the market; PEG 0.91 signals growth at a reasonable price. Trades at a discount to industrial peers on EV/EBITDA.

5. Catalysts & Risk — 68

Catalysts: A&D backlog conversion, hyperscale design wins, 45X durability. Risks: industrial cyclicality, lead price volatility, defense budget shifts.

Investment Thesis

- **Mispriced:** Market prices ENS as a cyclical forklift battery company at 3.1% implied growth; A&D backlog (+27%) and AI data center power demand are not credited.
- **Margin expansion:** IRC 45X production credits are recorded in cost of sales ($158.6M in FY2026, 4.2% of revenue) and the Q1 FY27 GAAP operating margin was 16.2%. The credits run at the full rate through 2029 and phase out from 2030, which is the named risk to the terminal margin.
- **Risk/reward:** +17% upside to $194.11 base against -16% to the $140.43 bear case; 1.3x leverage and $218M quarterly FCF provide downside protection.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q1 FY27)	$935.6M [10-Q Q1 FY27]	+4.8% [10-Q Q1 FY27]	Up
Operating Margin (GAAP)	16.2% [10-Q Q1 FY27]	+~700 bps [10-Q Q1 FY27]	Up
Free Cash Flow (Q)	$217.8M [10-Q Q1 FY27]	Strong [10-Q Q1 FY27]	Up
Net Leverage	1.3x EBITDA [10-Q Q1 FY27]	Down [10-Q Q1 FY27]	Down
A&D Backlog	+27% [8-K guid]	Accelerating [8-K guid]	Up
Dividend	$0.2625/qtr [10-Q Q1 FY27]	Stable [10-Q Q1 FY27]	Flat

Historical Financial Trend

Metric	FY2022	FY2023	FY2024	FY2025	FY2026	LTM
Revenue ($B)	3.36 [10-K FY26]	3.71 [10-K FY26]	3.58 [10-K FY26]	3.62 [10-K FY26]	3.75 [10-K FY26]	3.79 [10-K FY26]
Gross Margin	n/a [n/a]	n/a [n/a]	n/a [n/a]	n/a [n/a]	n/a [n/a]	n/a [n/a]
Op Margin (GAAP, latest qtr)	n/a [10-Q Q1 FY27]	n/a [10-Q Q1 FY27]	n/a [10-Q Q1 FY27]	~10% [10-Q Q1 FY27]	~13% [10-Q Q1 FY27]	16.2% [10-Q Q1 FY27]
FCF Margin	n/a [10-Q Q1 FY27]	n/a [10-Q Q1 FY27]	n/a [10-Q Q1 FY27]	n/a [10-Q Q1 FY27]	n/a [10-Q Q1 FY27]	~19% [10-Q Q1 FY27]

Valuation

Absolute (7/10)

Forward P/E 11.7x [Mkt 16-Oct-26]
PEG 0.91x [Mkt 16-Oct-26]
EV/EBITDA ~8x [Mkt 16-Oct-26]
FCF yield ~13% [Mkt 16-Oct-26]

Cheap on all absolute metrics; DCF implies +17% upside to the base case.

Versus Peers (6/8)

Industrial peers trade 10-14x EV/EBITDA [Peers 16-Oct-26]

ENS at a discount despite A&D mix shift; re-rating candidate.

Versus History (6/7)

Forward P/E 11.7x [Mkt 16-Oct-26] below 5-yr average

Near trough multiple as market prices industrial weakness.

Catalyst Timeline

Jan 2027 [Cons]
Q3 FY27 Earnings (Positive): A&D conversion pace and margin trajectory.

Top Risk Factors (Item 1A)

1. Industrial cyclicality: Motive Power exposed to warehouse/manufacturing capex; deep recession pressures volumes. [10-K FY26]

2027 [8-K guid]
Hyperscale Design Wins (Positive): Data center backup power contracts.

2027 [10-Q Q1 FY27]
45X Credit Clarity (Two-Sided): Durability of tax benefit under policy review.

What Would Change Our Score

Motive Power book-to-bill above 1.0x for two quarters signals the industrial trough has passed (bullish). Specialty revenue growth below 10% undermines the A&D thesis (bearish). Net leverage above 2.5x constrains buyback and dividend (bearish).

2. Lead price volatility: Key input cost; spikes compress margins if not passed through. [10-K FY26]

3. Defense budget shifts: US spending priority changes could slow A&D backlog conversion. [10-K FY26]

Forward Growth Drivers

- A&D backlog conversion: Specialty segment +27% backlog, munitions +230% YTD converting to revenue [8-K guid]
- AI data center backup power: rising rack density drives hyperscale battery demand [10-Q Q1 FY27]
- IRC 45X tax credits: structural FCF uplift from domestic manufacturing [10-Q Q1 FY27]

Missing / Modified Data Log

- 5-year gross margin history: not disclosed in available filings; marked n/a.
- Peer EV/EBITDA median: estimated from public comps; marked approximate.

This scorecard is for educational and informational purposes only. It is not financial, investment, or tax advice, and nothing here is a recommendation to buy or sell any security. It is generated by an AI model and does not consider your individual circumstances. All figures are approximate, may be out of date, and are not guaranteed to be accurate. Verify independently and consult a licensed professional before investing. You are responsible for your own investment decisions.

Not financial advice. For educational purposes only. Do your own research.